

Authority for Personal Data
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The Minister for Poverty Policy, Participation and Pensions
P.O. Box 90801
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Date

March 29, 2023

Our reference

z2022-06003

Your letter dated

October 12, 2022

Contact person

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Your reference

2022-0000195261

Subject

Legislative advice Temporary regulation signal payment arrears in connection with an experiment by DUO and the municipality of Amsterdam

Dear Ms. Schouten,

In a letter dated October 12, 2022, the Authority for Personal Data (AP) was consulted pursuant to the provisions of Article 36, fourth paragraph, of the General Data Protection Regulation (GDPR) regarding the draft for the Regulation of the Minister for Poverty Policy, Participation and Pensions to amend the Temporary regulation signal payment arrears in connection with an experiment by DUO and the municipality of Amsterdam (hereinafter: the draft).

The AP has a number of comments on the draft and advises that these should be taken into account.

Scope of the draft

The draft aims to amend the Temporary regulation signal payment arrears to temporarily allow signals from the Education Executive Agency (DUO) to the municipality of Amsterdam regarding student debts. Pursuant to Article 10 of the Municipal Debt Assistance Act (Wgs), a signal from a creditor regarding payment arrears, which forms a better indication for more debts, can be designated by ministerial regulation. This concerns overdue debts in the sense of the Student Finance Act 2000, and any payment arrears on fines related to travel rights can be signaled. The personal data provided by DUO to the Municipality of Amsterdam includes: the contact details and date of birth of the resident, and the amount of the payment arrears. Municipalities can offer debt assistance on their own initiative following a received signal.

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Advice

Threshold amount

The purpose of Article 10 Wgs is to enable experiments and thus stimulate innovation by allowing the development of better indicators for early warning. A signal is only designated if it is expected to be a better predictor for early warning, thereby reaching people with risky debts more quickly.

The explanation of the draft states that analysis by DUO shows that a group of young people in Amsterdam has payment arrears in repaying student loans, tuition fees, and fines related to the public transport subscription. According to the explanation, this concerns large numbers, with approximately 5,000 individuals having payment arrears of more than 1,200 euros. A significant portion of these young people is not in contact with debt assistance services, while the municipality of Amsterdam sees that when young people receive debt assistance, they almost always also have payment arrears with DUO. According to the explanation, the expectation is therefore that signals about payment arrears from DUO are a good indicator for finding more young people with problematic debts. This seems to provide a basis for the assumption that some form of signaling of debts at DUO could increase the reach of debt assistance services.

One danger of early warning and related experiments is that personal data is provided about individuals who do not actually have risky debts. This is problematic from the perspective of, among other things, the principle of minimal data processing. The chosen threshold amount of 270 euros is important in this regard as it determines the individuals about whom personal data is provided. The explanation does not clearly indicate the basis for the amount and why that is the tipping point regarding the expected predictive value of the indicator. It is also unclear whether this amount is considered a problematic debt as such, or whether it is merely a predictor, and how this amount relates to payment arrears of more than 1,200 euros that are evidently considered risky debts.

The AP advises to justify the amount of the threshold and to take into account the risk that personal data may be provided about individuals who do not actually have risky debts.

Personal data to be provided

The draft specifies which personal data will be included. This includes, among other things, the 'contact details of the resident'. In the explanation of the draft, it is stated that this includes 'name, address, and place of residence, as well as phone number and email address if available'. The text in the regulation is broader due to the use of the open formulation 'contact details' than the explanation provided. From the perspective of, among other things, the principles of transparency and

1 House of Representatives, session year 2019–2020, 35 316, no. 3, p. 34.

2 Article 5, first paragraph, under b, of the GDPR.

3 Article 2.3, second paragraph, of the draft.

4 Explanation of the draft, p. 4.

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In terms of minimal data processing, it is desirable that the types of personal data provided are also included as such in the text of the regulation.⁵

The AP advises that the specific types of personal data that may be provided about residents should be included in the text of the draft.

Number of payment reminders

Article 1.2 of the regulation to be amended contains conditions that the creditor, in this case DUO, must meet before a signal may be issued. One of the conditions is that DUO must have sent at least one written reminder to the resident regarding the payment arrears.⁶ In the explanation of the draft, it is stated that residents who are signaled have received "at least three payment reminders" from DUO over a period of three months.⁷ This effectively imposes a limitation regarding the individuals about whom a signal is issued. However, this limitation is not explicitly included in the regulation.

The AP advises that the aforementioned limitation concerning the number of written reminders received by a resident should be included in the text of the draft.

Workload

The AP notes that the draft is not expected to require additional effort from the AP.

Disclosure of the advice

The AP intends to make this advice public no earlier than four weeks after its issuance on the website www.autoriteitpersoonsgegevens.nl. Unless stated otherwise, it assumes that there are no objections to this.

Sincerely,

Dutch Data Protection Authority,

Aleid Wolfsen

Chairman

5 Article 5, first paragraph, under a and b, of the GDPR.

6 Article 1.2, under c, of the Temporary regulation on signals of payment arrears.

7 Explanation of the draft, p. 4.